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China Economics

26H2 Outlook: AI Supercycle Cuts into the K-shaped Economy

CITI'S TAKE

AI is now front and center in [China's K-shaped economy](#). The AI supercycle further powers the strong leg – exports, production and the new economy. Meanwhile, [AI-driven job displacement](#) weighs on consumer confidence, and the significant AI buildout risks crowding out old economy investment. Overall trickle-down has been limited, with the weak leg fragmenting into distinct winners and losers across sectors and geographies. Policy will likely stay targeted against this backdrop. We maintain our 4.7% growth forecast for 2026E, with 26Q2 likely the low point. The July Politburo should signal piecemeal consumer support – not broad-based stimulus, in our view. An outright deficit expansion is not our base case, but we believe fiscal deployment is set to accelerate. While monetary policy is not in the driver's seat, we keep our call for a symbolic 10bps rate cut in 26H2E.

Xiangrong Yu^{AC}

+852-2501-2754

xiangrong.yu@citi.com

Xinyu Ji^{AC}

+852-2501-2792

xinyu.ji@citi.com

Yuanliu Hu^{AC}

+852-2501-2746

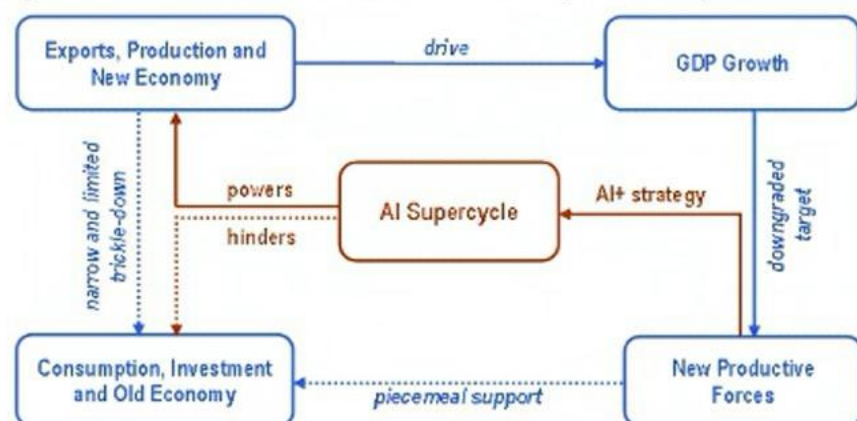
yuanliu.hu@citi.com

*See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

AI has become the defining force shaping China's K-shaped economy. We have characterized China's post-Covid recovery along two dimensions: [1] supply consistently outpacing domestic demand, with exports filling the gap; and [2] the new economy outperforming the old (see: [China Outlook 2026: Mind the Gap](#)). The DeepSeek moment in early 2025 helped materially accelerate the AI-centric new economy, which has since broadened its macro footprint through intensifying AI deployment. The AI supercycle deepens the existing fault lines (Figure 1).

- **Widening divergence:** The AI supercycle is powering production, exports, and new economy activity, reinforcing the strong leg of the K. At the same time, AI-driven labor displacement risks – while not yet material – are weighing on consumer confidence (see: [The Macro-Micro Disconnect of AI-Driven New Economy](#)). The significant AI buildout also risks crowding out old economy investment.
- **Domestic fragmentation:** The AI supercycle is creating distinct winners and losers across sectors and geographies, even as overall trickle-down to the old economy has been limited. The weak leg is no longer monolithic – AI-adjacent industries, cities, and even individuals are pulling ahead, against an otherwise sluggish backdrop.
- **"AI-first policy":** Despite the policy rhetoric of "employment-first" and "investing in people", the "AI+" initiative is clearly the strategic focus in practice. We believe, so long as social stability holds, facilitating the AI transition sits at the top of the policy hierarchy. With the growth target revised down, the urgency for broad-based cyclical stimulus appears low to us – reinforcing a selective, tech-oriented policy posture.

Figure 1. AI is now front and center in China's K-shaped economy



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Source: Citi Research

We maintain our growth forecast at 4.7%YoY for 2026E. The AI supercycle anchors the headline number, particularly [through supply-side strength](#). 26Q2 is likely to be a low point in the quarterly trajectory, partly due to the Middle East shock and lagging fiscal deployment. On prices, the energy shock has driven the first leg of PPI reflation; we believe anti-involution and AI inflation are poised to drive the next. We reckon nominal growth could reach a five-year high of 6.7% in 2026E.

We expect targeted, piecemeal support to domestic demand ahead – not broad-based big stimulus. Structural efforts such as the [“Six Networks” initiative](#) are underway, enabling AI adoption and stabilizing investment. We see a good chance that the July Politburo meeting (held on the 30th in 2025) may signal incremental measures to support consumption and household income. That said, an outright increase in the budget deficit or special government bond quota is not our base case. While monetary policy is not in the driver’s seat, we keep our call for a symbolic 10bps rate cut in 26H2E. We expect the PBoC to maintain its managed appreciation bias on the exchange rate to facilitate [RMB internationalization](#) and see USDCNY edging towards 6.7.

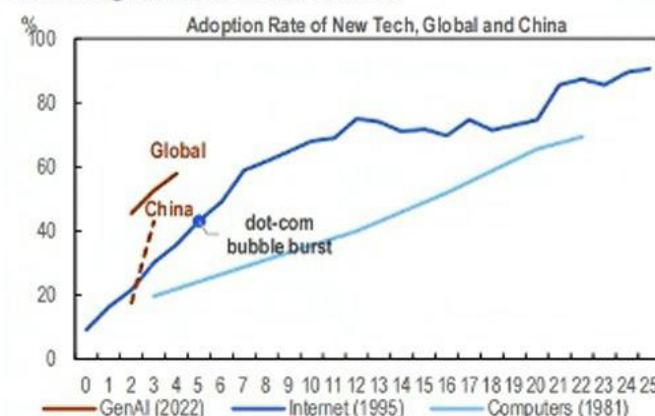
The AI economy takes off

The AI economy is shifting from intangible algorithm development to tangible infrastructure buildout. The DeepSeek moment settled a pivotal question – China can innovate in AI. OpenClaw and the rise of agentic AI have since recharged the momentum, further cementing the trend as the most significant technological transition for China in decades (Figure 2). The shift is visible across at least three dimensions:

- **Token:** China’s daily token usage hit 140trn in March 2026, up from 0.1trn at the beginning of 2024 (Figure 3).
- **Computing power:** China’s intelligent computing tripled in 2025 vs. 2024, according to MIIT data (Figure 4).
- **Equity market:** AI-related outperformance has rotated from internet giants to semiconductor manufacturers and materials providers – mirroring the broader shift from intangible algorithm development to tangible infrastructure buildout (Figure 5).

AI is now front and center in China’s K-shaped economy. The post-Covid recovery has been bifurcated with supply outpacing demand (Figure 6), external demand ahead of domestic demand (Figure 7), and the new economy leading the old. The unfolding AI supercycle is set to widen the divergence and create further fragmentation within the weak leg, in our view.

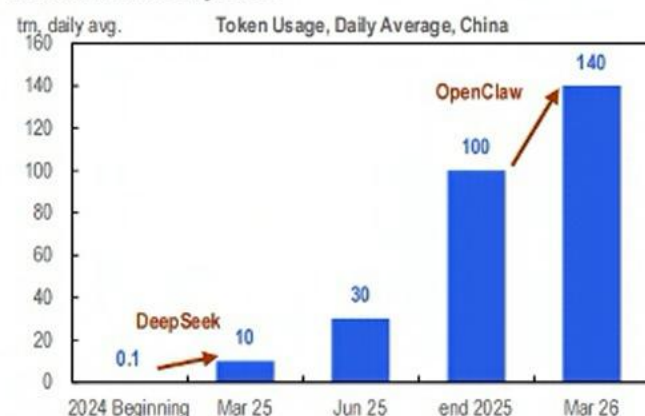
Figure 2. China is now perhaps in the most significant technological transition in decades



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Source: GenAI Adoption Tracker, MIIT, Citi Research

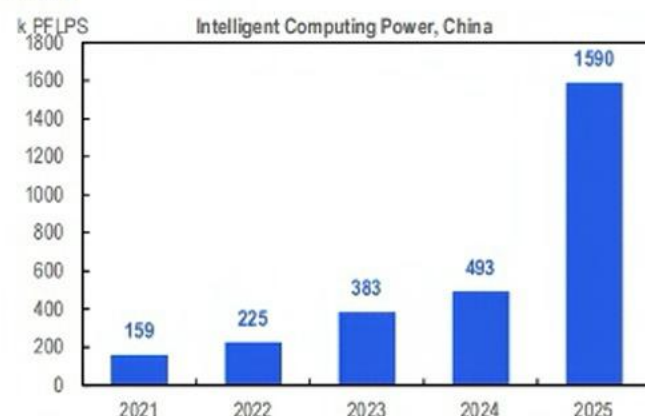
Figure 3. China's daily token usage hit 140trn in March, up from 0.1trn in early 2024



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Source: MIIT, news reports, Citi Research

Figure 4. China's intelligent computing tripled in 2025 vs. 2024



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Source: MIIT, news reports, Citi Research

Figure 6. China's post-Covid recovery has been bifurcated with supply outpacing demand



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Source: NBS, Wind, Citi Research

Figure 5. AI-related outperformance has rotated from internet giants to semiconductor supply chains

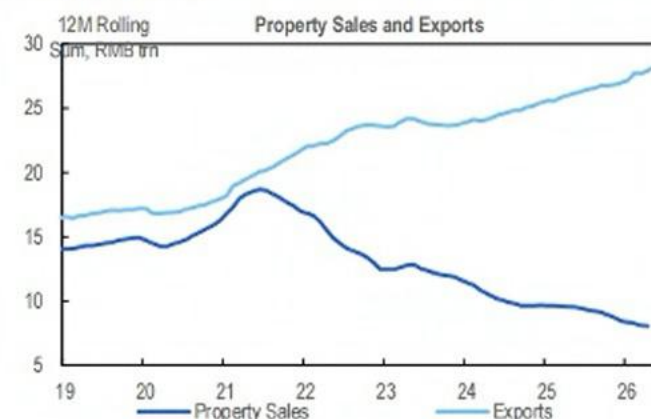


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Note: AI models (Tencent, Meituan, Alibaba, Kuaishou, Baidu, SenseTime, Ubtech, Zhipu and Minimax) and semiconductor supply chains as compiled by Wind.

Source: Wind, Citi Research

Figure 7. External demand fills the gap between supply and domestic demand



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Source: NBS, Wind, Citi Research

A further boost to the strong leg

The AI supercycle serves as [another boost to exports](#), as evidenced by the strong growth seen so far. Even if export momentum were to subside, we believe China's own AI-transition demand could sustain production.

Exports: from cyclical strength to structural tailwind

China's export boom this year is more structural than cyclical. Three features stand out:

- **AI hardware:** AI-related exports – spanning upstream chips, midstream power equipment, and downstream personal electronics – accounted for 20.3% of China's total exports in 2025 (Figure 8). Growth accelerated to 34.8%YoY in Jan-May 2026, contributing 6.8ppts to headline export growth of 15.6%YoY over the

same period (Figure 9). With the global AI transition still in its early stages, this strength is unlikely to falter soon.

- **Prices:** PPI reflation, which kicked in from March, contributed ~5ppts to export growth of 14.0%YoY in April (latest available), with AI-related items logging price surges across the supply chain (Figure 10). This dynamic is translating into meaningful revenue and profit growth – profits in telecom equipment manufacturing jumped 107.7%YoY in Jan–April.
- **Energy transition:** The global energy transition, amplified by the Middle East conflict, provides a further tailwind to China's "New Three" exports (Figure 11). Growth reached 51.5%YoY in the first five months of 2026, contributing 2.2ppts to the headline.

We revise up our export growth forecast to 13.0%YoY for 2026E. Imports could also stay buoyant at 22.0%YoY, leaving the trade surplus at US\$1.1trn. Structural drivers – unlike the competitiveness-led cyclical support of 2024–25 – are likely to prove more resilient.

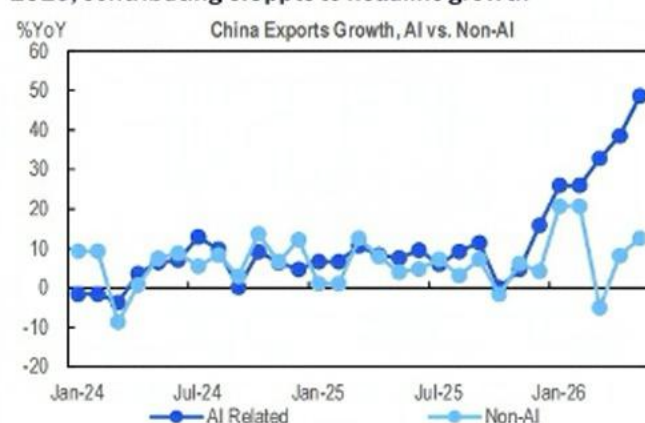
Protectionism poses downside risks but is unlikely to derail China's export growth. On the US–China front, risks appear well contained following the IEEPA ruling and the summit between President Trump and President Xi in Beijing, not to mention potentially more presidential meetings in 26H2E. EU risks are rising, with further measures against Chinese exporters in preparation (Reuters, Jun 18, 2026). That said, the US precedent could be instructive: despite accounting for 14.6% of China's exports in 2024 and peak tariffs of ~145%, China's exports held up throughout the year. The EU now represents a similar 14.9% share; how aggressive its measures will be remains to be seen. Protectionism risk may be real but not significant enough to derail growth, in our view.

Figure 8. AI-related exports generally accounted for 20.3% of China's total exports in 2025

Category	Subcategory	CN Exports, US\$ bn (2025)
Upstream	Semiconductors & Integrated Circuits	216.4
Upstream	Printed Circuit Boards & Electronic Assembly	35.9
Upstream	Memory & Storage Components	4.0
Upstream	Passive Components & Connectors	24.4
Upstream	Cables & Interconnects	28.6
Midstream	Semiconductor Manufacturing Equipment	5.7
Midstream	Testing & Inspection Equipment	7.6
Midstream	Servers & Data Processing Equipment	49.8
Midstream	Networking & Communication Infrastructure	41.8
Midstream	Power Supply & Management	115.1
Midstream	Cooling & Thermal Management	21.4
Midstream	Displays & Interface Components	1.7
Downstream	Mobile Devices & Personal Computing	213.9

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Source: China Customs, Citi Research

Figure 9. Their growth accelerated to 34.8%YoY in Jan–May 2026, contributing 6.8ppts to headline growth



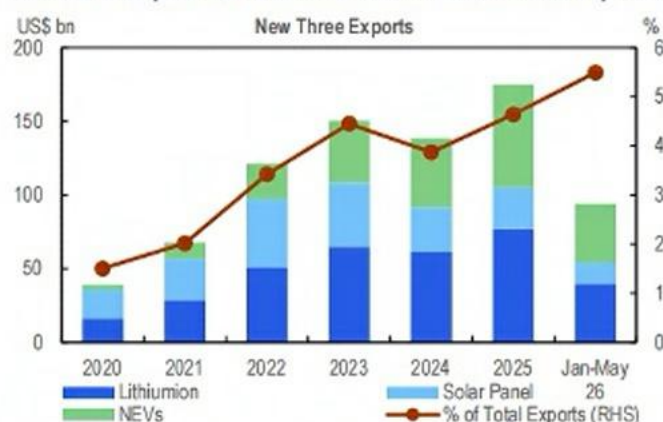
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Source: China Customs, Citi Research

Figure 10. AI-related items also logged strong price momentum across the supply chain



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Source: China Customs, Citi Research

Figure 11. Global energy transition amplified by the Middle East conflict provides a further tailwind to Chinese exports



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Source: China Customs, Wind, Citi Research

Production: high-tech takes the wheel

Production could prove even more resilient than the export cycle. China's own AI-driven demand is pushing high-tech production higher – and could sustain momentum even if export growth were to subside.

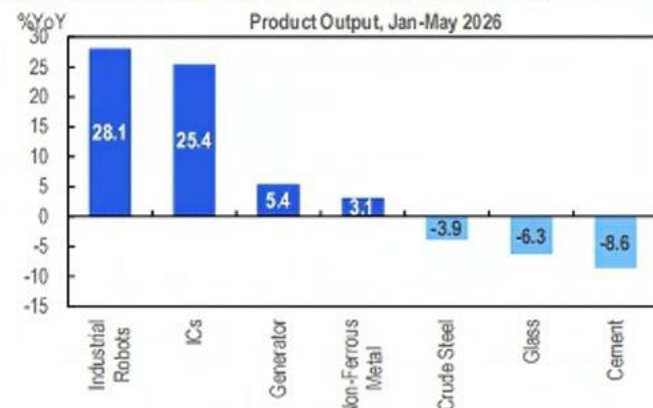
- **High-tech IP** rose 13.1%YoY Ytd, with the monthly rate accelerating to a five-year high of 15.1%YoY in May. Despite carrying a weight of ~17%, its [contribution to headline IP](#) has exceeded 50% (Figure 12). Elsewhere in the industrial complex, resilience is wearing thin.
- **AI-related output growth** is gaining momentum. IC output expanded 25.4%YoY in Jan-May, while export volumes only grew 8.8%YoY – with ¾ of the increase directed towards domestic use. Industrial robot output grew 28.1%YoY, reflecting AI's growing footprint in manufacturing (Figure 13).

Figure 12. High-tech IP rose 13.1%YoY Ytd, contributing >50% to headline growth



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Source: NBS, Wind, Citi Research

Figure 13. AI's footprint in manufacturing grew with output growth standing out for ICs and industrial robots



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Source: NBS, Wind, Citi Research

Rising fragmentation in the weak leg

The booming new economy offers little relief to the weak leg of the K-shaped economy. The AI supercycle is creating distinct winners and losers across sectors and cities, rather than supporting a broad-based recovery. At best, the new economy generates sporadic rebounds in domestic demand.

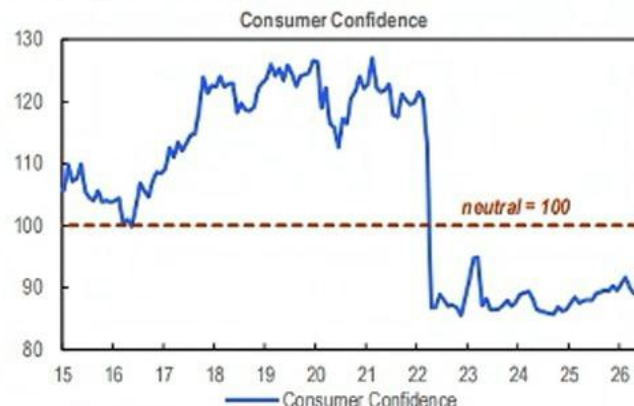
Consumption & property: sporadic gains, no broad recovery

AI-driven job displacement risks could weigh further on already subdued consumer confidence. Early to assess [AI's job market impact in China](#), we estimate that ~70.3mn jobs face displacement risk from AI deployment. With [adoption gaining traction](#), displacement could start to surface – most visibly in new hiring, particularly among college graduates.

- **Consumer confidence** dipped further in April from an already subdued level (Figure 14). The index has been trending below the neutral benchmark of 100 for 50 consecutive months since April 2022. The decline coincided with rising equity market volatility and [the above-seasonal increase](#) in unemployment in March – before normalization in April.
- **Household risk appetite** stays low. Net loan repayments reached RMB631bn in the first five months of 2026 (Figure 15), with [deposit reallocation](#) only beginning to stir. Households still hold RMB28.4trn in excess deposits as of May relative to the linear trend, and the saving rate remained elevated at 41.8% in 26Q1 vs. 38.5% in 19Q1.
- **Policy impulse** is fading. Consumption policies have been steady, yet the high base from 2025 and lagging fiscal deployment drove an outright contraction in retail sales of -0.6%YoY in May – the first decline since Covid (Figure 16).

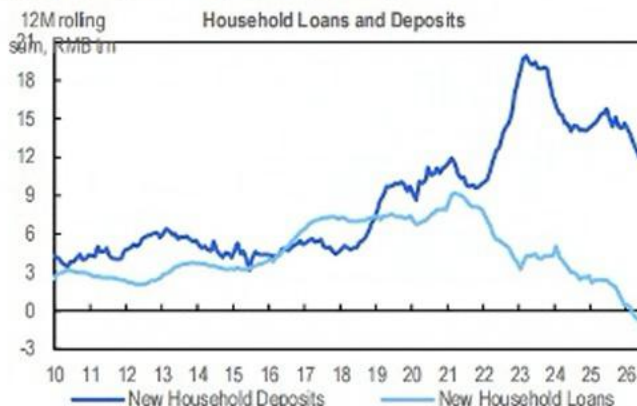
The new economy could, at best, generate sporadic gains within the weak leg. In property, Tier-1 city prices have stabilized, while the national index continues to search for a bottom (Figure 17), with AI startups and hardware suppliers concentrated in major city clusters. Luxury sales have also held up despite the headwind from the Middle East conflict ([SCMP](#), May 25, 2026).

Figure 14. Consumer confidence dipped further in April from an already subdued level



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Source: NBS, Wind, Citi Research

Figure 15. Household risk appetite stays low with net loans repayment of RMB631bn in Jan-May



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Source: PBoC, Wind, Citi Research

Figure 16. Fading trade-in subsidies drove an outright negative reading of retail sales growth in May



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Source: NBS, Wind, Citi Research

Figure 17. Home prices in Tier-1 cities have held up, while the national index continues to search for a bottom



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Source: NBS, S&P/Case-Shiller, Haver Analytics, Wind, Citi Research

Investment: AI buildout leads, the rest lags

AI-related investment is building its own momentum, while headwinds gather for the rest. With fiscal resources constrained, the significant AI buildout also risks crowding out old economy investment.

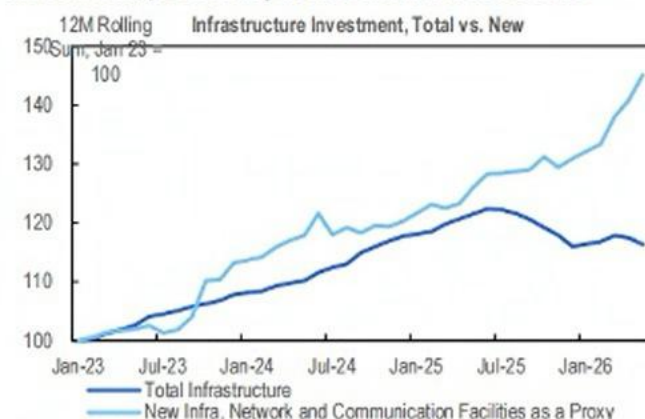
- **AI:** IT-related FAI stays buoyant even as headline FAI retreats. [Citi's tech team](#) estimates ~RMB641bn in domestic capex across hyperscalers and third-party data centers. IT services FAI surged 13.8%YoY in Jan-May, and telecom equipment manufacturing FAI rose 6.7%YoY over the same period (Figure 18). [The ongoing "Six Networks" initiative](#) should provide an additional tailwind.
- **Other:** Headwinds for the rest are mounting, driven by [1] lagging fiscal deployment, [2] uncertainty from the Middle East conflict, [3] anti-involution pressures, and [4] squeezed margin in downstream sectors. Notably, infrastructure investment posted a double-digit decline in May, despite the buoyant new-infrastructure buildout (Figure 19).

Figure 18. IT-related FAI stays buoyant even as headline FAI retreats, with IT services at 13.8%YoY



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Source: NBS, Wind, Citi Research

Figure 19. AI buildout could even crowd out old economy investment, particularly in traditional infrastructure



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Source: NBS, Wind, Citi Research

Reflation: not all boats are lifted

The long-awaited PPI reflation has arrived, broader than an energy shock but very uneven. The Middle East conflict drove the initial leg, while broad AI supply chains and construction costs are now extending the recovery (Figure 20). Profit rebounds through April remain concentrated in a handful of sectors, led by upstream and AI-related industries (Figure 21).

The uneven reflation could continue into 26H2E. We maintain our inflation forecasts at 1.0%YoY for CPI and 2.8%YoY for PPI (Figure 22). Peak PPI momentum may now be behind us, with a potential [resolution to the Middle East conflict](#). From here, reflation likely hinges on the AI economy and anti-involution dynamics – we expect a considerably milder pace ahead. With domestic demand remaining sluggish, meaningful passthrough from PPI to CPI is unlikely, in our view, echoing the 2016–17 episode. Downstream sectors face a difficult squeeze between weak end-demand and rising costs, keeping profit margins under pressure (Figure 23). This reflation may not lift all boats.

Figure 20. The Middle East conflict drove the initial leg, while broad AI supply chains extend the recovery



Figure 21. Profit rebounds through April remain concentrated in a handful of sectors

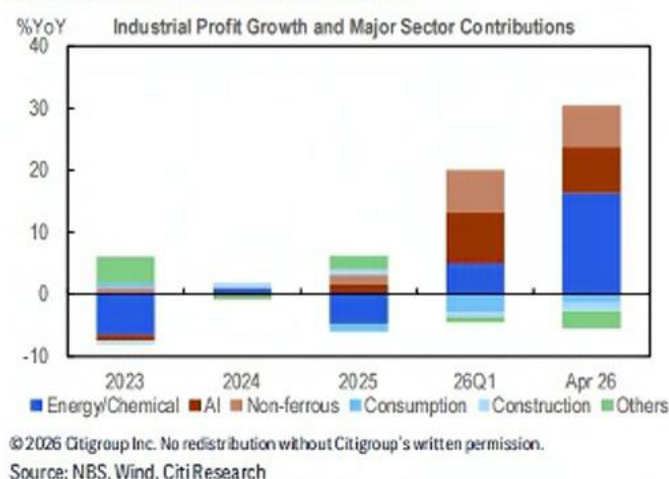


Figure 22. We maintain our inflation forecasts at 1.0%YoY for CPI and 2.8%YoY for PPI

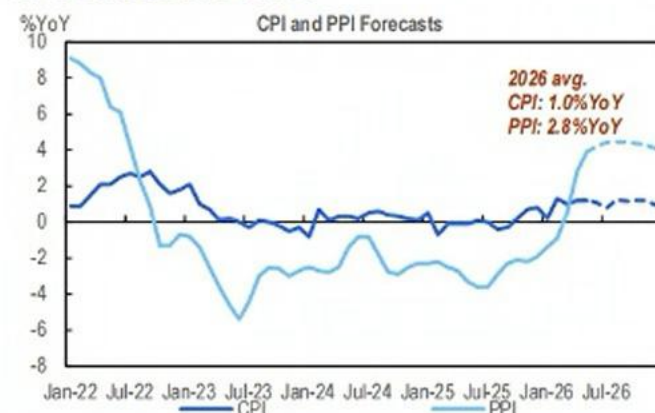
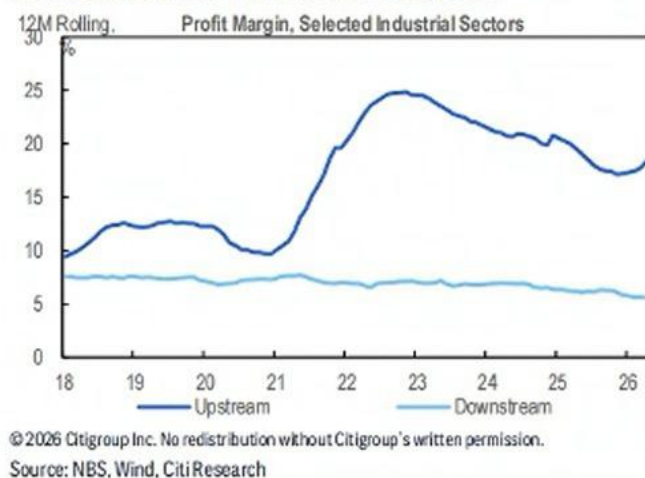


Figure 23. Downstream sectors face a difficult squeeze between weak end-demand and rising costs



Realistic policy expectations

Will policymakers pivot proactively to close the gap? We think not – at least not in 2026. The AI-driven new economy may prove sufficient to keep headline growth on track to meet [the downgraded target](#). Despite the sharp slowdown in 26Q2, we maintain our full-year forecast at 4.7%YoY for 2026E, with 26Q2E at 4.5%YoY. 26Q2 is likely to be the low point of the year, as the drag from the Middle East conflict fades and base effects turn more favorable. We expect a modest recovery to ~4.7%YoY in 26H2E.

The “AI+” initiative is clearly the strategic priority in practice, despite the policy rhetoric of “employment-first” and “investing in people”. [The 15th Five-Year Plan's](#) great emphasis on technology, innovation, and industrial upgrading provides longer-term underpinning for the strong leg of the economy. We believe, so long as social stability holds, facilitating the AI transition sits at the top of the policy hierarchy. The weak leg, while a concern, may not be soft enough to trigger an imminent policy pivot. We expect targeted, piecemeal support to domestic demand ahead – not broad-based big stimulus.

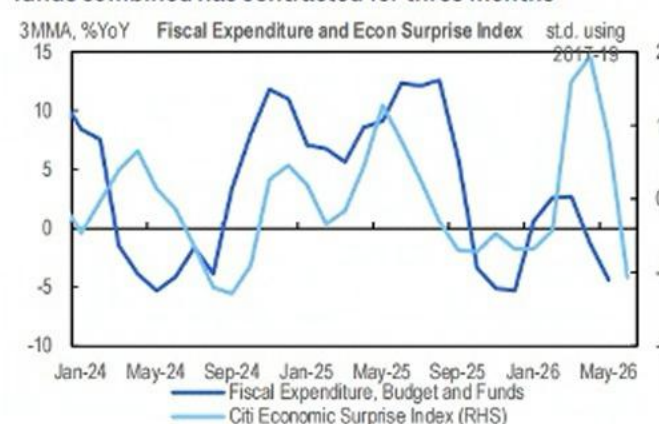
- **Monetary policy:** We maintain our call for a symbolic 10bps policy rate cut in 26H2E, with risks skewed to the earlier side (Figure 24). Monetary policy is not in the driver's seat during the AI transition – credit growth, once the most powerful leading indicator, no longer reliably leads the economic cycle. Even ahead of this year's AI boom, new credit had already shifted away from property. The AI economy, at least in its initial stage, relies more on internal funding, PE/VC, and government-guided funds – channels not captured by loans or Total Social Financing. Ongoing AI buildout could redirect funding back to traditional bank lending, though not at a scale sufficient to drive a meaningful rebound in loan growth. Financial reform and regulation are likely to be a focus in the interim, as the PBoC refines [its interest rate corridor](#).
- **Fiscal policy:** An outright increase in the budget deficit or special government bond quota is not our base case. We anticipate an acceleration in fiscal deployment ahead. [The NPC](#) this year left the fiscal stance largely unchanged from 2025, and implementation has lagged: special bond issuance has been less aggressive (Figure 25), the issuance of special CGBs for bank recapitalization has been postponed ([STCN](#), May 23, 2026), and there has been limited update on the RMB800bn policy-financing tool. Fiscal expenditure for budget and government funds combined has contracted for three months in a row (Figure 26), putting the MoF in *de facto* austerity. A partial reversal alone could send fiscal impulse higher into 26H2E, even without additional measures (Figure 27).
- **Targeted support:** Fiscal acceleration, in our view, will likely be biased towards facilitating the AI transition. [The “Six Networks” initiative](#) is underway, enabling AI adoption and stabilizing investment. We see a good chance that the July Politburo meeting (held on the 30th in 2025) could signal incremental measures to support consumption and household income. Further details on the *Action Plan to Increase Household Income* are the key watch points – though we don't foresee decisive fiscal action on implementation this year. Separately, policy actions around anti-involution are gaining traction as well.

Figure 24. We maintain our call for a symbolic 10bps policy rate cut in 26H2E, with risks skewed to the earlier side



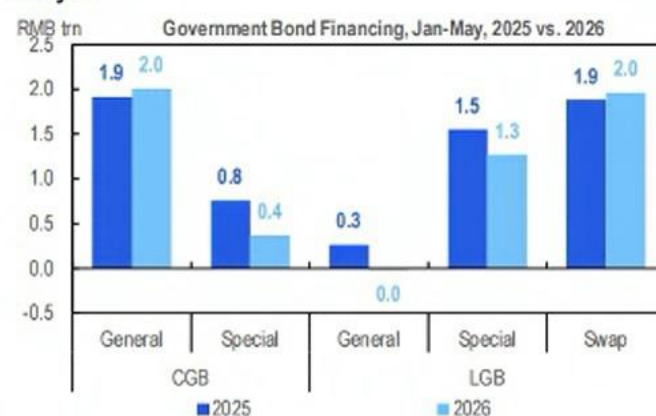
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Source: PBoC, CEIC, Wind, Citi Research

Figure 26. Fiscal expenditure for budget and government funds combined has contracted for three months



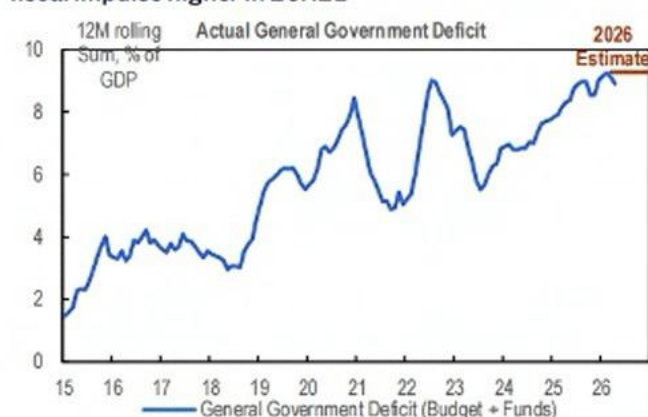
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Source: MoF, CEIC, Wind, Citi Research

Figure 25. Special bond issuance has been less aggressive this year



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Source: Wind, Citi Research

Figure 27. A reversal of *de facto* fiscal austerity could send fiscal impulse higher in 26H2E



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Source: MoF, NBS, NPC, CEIC, Citi Research

Figure 28. Actions around anti-involution initiatives are gaining traction

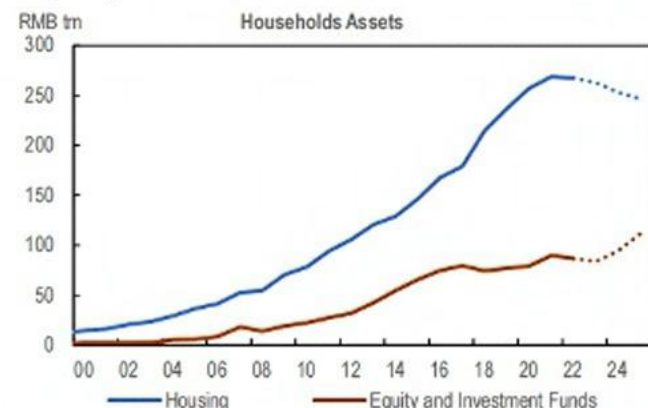
Date	Ministries	Sectors	Details
May 27	MIIT	Solar	New compulsory national standard on solar, effective from Jun 1, 2027
Jun 11	MIIT and SMAR	Auto price competition	Summoned and cautioned auto manufacturers suspected of irrational market competition
Jun 15	NDRC and others	Carbon emission	Mandatory carbon emission standard and other measures to accelerate energy-saving and carbon-reduction upgrades in key industries
Jun 17	SAMR	Delivery subsidies	Regulation over delivery subsidies
Jun 18	MIIT and others	Platform companies	Action Plan to Facilitate Coordinated Development between Large and Medium-to-Small Companies of the Platform Economy

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Source: Gov, news reports, Citi Research

Market Implications

Equity and rates markets are caught in the great divide of the K-shaped economy. The equity market remains a key consideration in the policy calculus (Figure 29) – and the ongoing, if narrow, nominal deflation provides a supportive backdrop. Rates, by contrast, are more anchored to old economy dynamics and are likely to remain rangebound at low levels, in our view (Figure 30).

Figure 29. The equity market remains a key consideration in the policy calculus

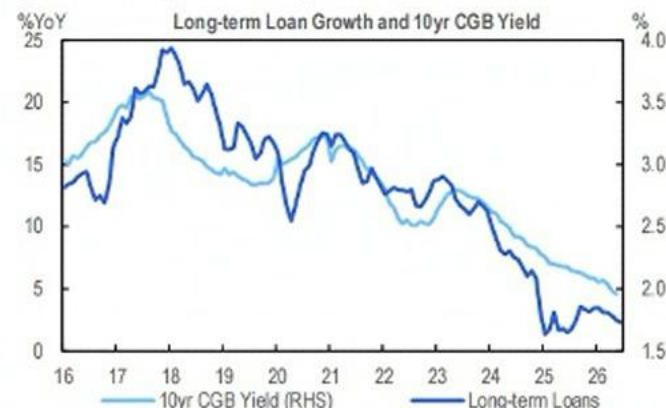


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Note: Data for 2023 and after extrapolated using NBS second-hand property prices and SHCOMP.

Source: CASS, NBS, CEIC, Wind, Citi Research

Figure 30. Rates are more anchored to old economy dynamics [long-term loan growth?]



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Source: NBS, PBoC, Wind, Citi Research

The RMB exchange rate remains the most flexible lever in China's economy and markets. FX settlement – now at a decade high – is the primary driver of USDCNY, in our view (Figure 31). Exporter's conversion ratio has also recovered to a five-year high (Figure 32). We expect the PBoC to maintain its managed appreciation approach, using the exchange rate to complement its [RMB internationalization initiative](#) during this strategic window. We maintain our USDCNY target of 6.7 on a 6-12m horizon, despite Citi's house view of a strengthening US dollar into 26H2E.

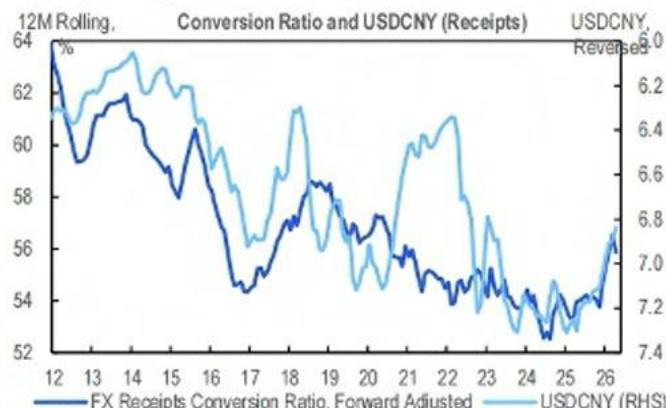
Figure 31. FX settlement – now at a decade high – is the primary driver of USDCNY



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Source: SAFE, Wind, Citi Research

Figure 32. Exporter's conversion ratio has also recovered to a five-year high



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Source: SAFE, Wind, Citi Research

Figure 33. We maintain our growth forecast at 4.7%YoY for 2026E and expect piecemeal stimulus ahead

	Unit	2019	2020	2021	2022	2023	2024	2025	2026F	24Q1	24Q2	24Q3	24Q4	25Q1	25Q2	25Q3F	25Q4	26Q1	26Q2F	26Q3F	26Q4F
Real GDP	%YoY	6.1	2.3	8.6	3.1	5.4	5.0	5.0	4.7	5.3	4.7	4.6	5.4	5.4	5.2	4.8	4.8	5.0	4.5	4.6	4.7
	%QoQ									1.3	1.0	1.4	1.6	1.1	1.1	1.1	1.2	1.3	0.4	1.1	1.3
Consumption	ppt	3.6	-0.1	5.2	1.5	4.6	2.3	2.6	2.4	2.7	2.2	1.4	1.7	2.7	2.7	2.6	2.4	2.4			
Gross Capital Formation	ppt	1.8	1.8	1.7	1.2	1.4	1.1	0.8	0.9	0.3	1.9	1.3	1.2	0.3	1.3	0.8	0.7	1.9			
Net Exports	ppt	0.7	0.7	1.7	0.4	-0.6	1.5	1.6	1.4	2.4	0.6	2.0	2.5	2.4	1.3	1.4	1.4	0.8			
Nominal GDP	%YoY	7.5	2.9	13.4	5.1	4.9	4.2	4.0	6.7	4.1	3.9	3.9	4.5	4.5	3.8	3.7	3.8	5.0	6.8	7.3	7.5
Industrial Production	%YoY	5.7	2.8	9.6	3.6	4.6	5.8	5.9	5.0	6.1	5.9	5.0	5.3	6.5	6.2	5.8	5.0	5.7	4.7	4.7	4.9
Services Sector Growth	%YoY	7.6	2.4	9.0	3.5	6.3	5.1	5.4	4.8	5.3	4.2	4.8	5.4	5.3	5.7	5.4	5.2	5.2	4.5	4.6	4.8
Nominal FAI	%YoY, Ytd	5.4	2.9	4.9	5.1	3.0	3.2	-3.8	1.0	4.2	3.9	3.4	3.2	4.2	2.8	-0.5	-3.8	1.7			1.0
Property	%YoY, Ytd	9.9	7.0	4.4	-10.0	-9.6	-10.6	-17.2	-13.0	-9.9	-10.5	-10.3	-10.6	-9.9	-11.2	-13.9	-17.2	-11.2			-13.0
Infrastructure	%YoY, Ytd	3.8	0.9	0.4	9.4	5.9	4.4	-2.2	5.0	5.8	5.4	4.3	4.4	5.8	4.6	1.1	-2.2	8.9			5.0
Manufacturing	%YoY, Ytd	3.1	-2.2	13.5	9.1	6.5	9.2	0.6	3.0	9.1	9.5	9.3	9.2	9.1	7.5	4.0	0.6	4.1			3.0
Private FAI	%YoY, Ytd	4.7	1.0	7.0	0.9	-0.4	-0.1	-6.4		0.4	0.1	-0.3	-0.1	0.4	-0.6	-3.1	-6.4	-2.2			
Nominal Retail Sales	%YoY	8.0	-3.9	12.5	-0.2	7.2	3.5	3.7	2.5	4.7	2.6	2.7	3.9	4.6	5.4	3.4	1.7	2.4			
Exports	%YoY	0.5	3.6	29.9	7.0	-4.6	5.9	5.5	13.0	1.4	5.6	6.0	9.9	5.7	6.2	6.6	3.8	17.3	16.9	14.6	6.3
Imports	%YoY	-2.8	-1.1	30.1	1.1	-6.5	1.1	0.1	22.0	1.7	2.6	2.4	-1.8	-7.0	-0.8	4.3	2.9	22.5	29.1	18.2	22.8
Trade Balance	US\$ bn	421	524	637	838	822	993	1181	1102	183	252	299	296	271	312	287	311	262	306	295	240
Current Account	% of GDP	0.6	1.5	1.6	2.2	1.4	2.4	3.7	3.4	0.9	1.2	3.2	3.5	3.7	2.6	4.1	4.4	3.8			
GDP Deflator	%YoY	1.3	0.5	4.5	1.9	-0.5	-0.8	-1.0	2.0	-1.1	-0.8	-0.6	-0.8	-0.8	-1.3	-1.1	-0.6	0.0	2.2	2.6	2.7
CPI	%YoY	2.9	2.5	0.9	2.0	0.2	0.2	0.0	1.0	-0.1	0.3	0.5	0.2	-0.1	0.0	-0.2	0.6	0.8	1.2	1.1	1.1
PPI	%YoY	-0.3	-1.8	8.1	4.1	-3.0	-2.2	-2.6	2.9	-2.3	-1.6	-1.8	-2.6	-2.3	-3.2	-2.9	-2.1	-0.6	3.6	4.4	4.2
Budgetary Deficit	% of GDP	-2.7	-3.6	-3.0	-2.7	-3.8	-3.0	-4.0	-4.0												
General Government Deficit	% of GDP						-8.7	-10.6	-10.6												
M2	%YoY, EOP	8.7	10.1	9.0	11.8	9.7	7.3	8.5	8.2	7.0	6.2	6.8	7.3	7.0	8.3	8.4	8.5	8.5			8.2
Outstanding Loans	%YoY, EOP	12.3	12.8	11.6	11.1	10.6	7.6	6.4	5.5	9.6	8.8	8.1	7.6	7.4	7.1	6.6	6.4	5.7			5.5
New Loans	RMB trn	16.8	19.6	20.0	21.3	22.8	18.1	16.3	15.0	9.5	3.8	2.8	2.1	9.8	3.1	1.8	1.5	8.6			
TSF	%YoY, EOP	10.7	13.3	10.3	9.6	9.8	8.0	8.3	7.6	8.4	8.1	8.0	8.0	8.4	8.9	8.7	8.3	7.6			7.6
FX Reserves	US\$ Bn, EOP	3,108	3,217	3,250	3,128	3,238	3,202	3,358	3,250	3,241	3,222	3,316	3,202	3,241	3,317	3,339	3,358	3,342			3,250
Policy Rate (7D Reverse Repo)	%, EOP	2.50	2.20	2.20	2.00	1.80	1.50	1.40	1.30	1.80	1.80	1.50	1.50	1.50	1.40	1.40	1.40	1.40	1.40	1.30	1.30
RRR (Large Banks)	%, EOP	13.00	12.50	11.50	11.00	10.50	9.50	9.00	9.00	10.00	10.00	9.50	9.50	9.50	9.00	9.00	9.00	9.00	9.00	9.00	9.00
USDCNY	EOP	7.0	6.5	6.4	7.0	7.1	7.3	7.0	6.7	7.2	7.3	7.0	7.3	7.3	7.2	7.1	7.0	6.9	6.8	6.8	6.7

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Appendix A-1

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